

# THE WALL STREET JOURNAL.

DOW JONES | News Corp \*\*\*\*\* THURSDAY, JUNE 26, 2025 ~ VOL. CCLXXXV NO. 147 WSJ.com ★★★★★ \$5.00

DJIA 42982.43 ▼ 106.59 0.25% NASDAQ 19973.55 ▲ 0.3% STOXX 600 536.98 ▼ 0.7% 10-YR. TREAS. ▼ 1/32, yield 4.294% OIL \$64.92 ▲ \$0.55 GOLD \$3,327.10 ▲ \$9.70 EURO \$1.1661 YEN 145.26

## What's News

### Business & Finance

- ◆ **Shell is in talks to acquire BP** in what would be a landmark combination of two supermajor oil companies, potentially the largest such deal since the merger that created Exxon Mobil in 1999. **A1**
- ◆ **The U.S. took a step** toward easing some financial-crisis-era bank restrictions, proposing to let the largest lenders free up some of the capital they hold for times of market turmoil. **B1**
- ◆ **Major U.S. stock indexes** ended mixed, with the S&P 500 unchanged and the Nasdaq rising 0.3%, leaving both within 1% of their records. The Dow fell 0.2%. **B10**
- ◆ **Sales of new single-family homes** sank in May amid continued concerns over high mortgage costs. **A2**
- ◆ **A mediator proposed** that Trump and Paramount Global settle the president's lawsuit against the media company's CBS News division for \$20 million. **B1**
- ◆ **Mark Zuckerberg** poached three OpenAI researchers to join Meta's superintelligence efforts, a recruiting coup intended to help steer the company out of an AI crisis. **B1**
- ◆ **Tesla's sales in the EU** fell steeply in May, continuing a downward trend even as the bloc's electric-vehicle market shows signs of growth. **B4**
- ◆ **The EU said it would** investigate in depth Mars's bid to take over Kellanova, escalating its probe into the nearly \$30 billion deal over competition concerns. **B3**
- ◆ **Dating company Bumble** said it would lay off about 30% of its workforce, or roughly 240 employees, aiming to become more agile. **B3**

### World-Wide

- ◆ **Trump shifted** his stance on NATO, calling the alliance "not a rip-off" after a summit in the Netherlands, as European leaders used flattery and focused on increased military spending to satisfy him. **A1**
- ◆ **Democratic socialist** Zohran Mamdani's near-certain win in the New York City Democratic primary for mayor left financiers wondering what it might mean for their industry. **A1, A2**
- ◆ **China told its rare-earth** industry to identify employees with technical expertise, aiming to ensure they don't pass trade secrets to foreigners. **A1**
- ◆ **Trump doubled down** on claims that U.S. strikes crippled Iran's ability to pursue a nuclear bomb, rejecting the a leaked preliminary intelligence report that found the hits only delayed Tehran's efforts for a few months. **A6**
- ◆ **Health Secretary Robert F. Kennedy Jr.'s** new panel of vaccine advisers will re-evaluate the recommended vaccine schedule for children and teens, including for measles. **A3**
- ◆ **Britain said it would** acquire a squadron of U.S. jets capable of carrying nuclear weapons as it looks to beef up deterrence in Europe in light of a growing Russian threat. **A10**
- ◆ **Former Trump lawyer** Emil Bove defended his actions at the DOJ, parrying Democratic accusations that his temperament and ethics disqualified him from serving on an appeals court. **A3**
- ◆ **A Capitol Hill group** launched a sustainability caucus to back policies that encourage what it calls environmentally responsible commerce. **A4**

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## Shell in Early Talks to Buy Rival BP

A deal for BP, valued at some \$80 billion, would help Shell to challenge competitors

Shell is holding early-stage talks to acquire rival BP in what would be the largest oil deal in a generation, people

By Ben Dummett, Lauren Thomas and Jenny Strasburg

familiar with the matter said. Talks between company representatives are active, the people said, and BP is consid-

ering the approach carefully. Acquiring BP would put Shell on firmer footing to challenge larger competitors such as Exxon Mobil and Chevron. It would be a landmark combination of two so-called supermajor oil companies, a group of multinational behemoths that dominate production of the world's most important energy sources.

Potential terms of any deal couldn't be learned, and a tie-up is far from certain, the people familiar with the matter said. Bankers working on behalf of the companies have been engaged in the discussions, which are moving

slowly, the people said.

Shell said after The Wall Street Journal reported the talks that the report "is further market speculation. No talks are taking place." U.S.-listed shares of BP ended the day 1.5% higher, while in London, Shell shares fell 0.8%.

A BP spokesman declined to comment.

BP is currently valued at around \$80 billion. Taking into account a premium, a deal could end up as the largest corporate oil deal since the \$83 billion megamerger that created Exxon Mobil at the turn of the century. It would also easily be the biggest M&A

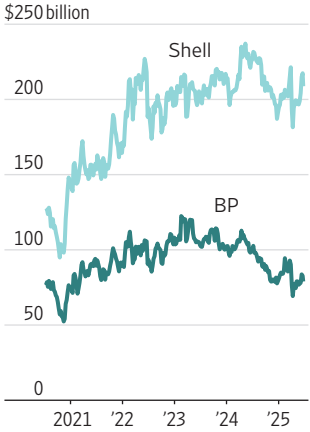
deal of the year, so far, in a market that has been rattled by Trump's trade war and other geopolitical tensions.

Shell comes into the talks operating from a position of strength, with its stock sharply outperforming BP in recent years. Shell, which like BP is based in the U.K. but has operations around the world, has a market value of more than \$200 billion.

BP has been the laggard among major oil companies after an ill-fated push away from fossil fuels into renewable energy. It has also suffered years of management upheaval and

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### Market value



Source: FactSet



President Trump basked in praise from European leaders at the summit at The Hague. He is flanked at a meeting by U.K. Prime Minister Keir Starmer, left, Dutch Prime Minister Dick Schoof, standing, and NATO Secretary-General Mark Rutte, right.

## Trump Warms to NATO, Won Over By More Military Spending, Flattery

THE HAGUE—What a difference one night in a Dutch palace can make.

President Trump departed Washington early Tuesday in a bad mood, swearing at Israel

By Annie Linskey, Alexander Ward and Daniel Michaels

and Iran for endangering the cease-fire he had brokered and sweating from a heat wave blanketing the capital.

Once he settled into his royal digs here, where temper-

atures dipped into the 60s, the cease-fire was holding and he basked in praise from European leaders he had clashed with for years.

"I came here because it was something I'm supposed to be doing," said Trump during an hourlong news conference at the end of his brief trip to the Netherlands. "But I left here a little bit different."

The biggest difference was his new verdict on the North Atlantic Treaty Organization.

"It's not a rip-off," Trump said, reversing his past broad-

sides against the alliance.

Trump even got a pass on his profanity from NATO Secretary-General Mark Rutte, who compared the Iran-Israel situation to disciplining children, explaining, "Daddy has to sometimes use strong language."

The first NATO summit of Trump's second term indicates he and his European counterparts have finally reached an understanding: If allies pay more for their own defense, the U.S. will remain a committed leader of NATO. In a bonus for Europeans, Trump bashed

President Vladimir Putin of Russia as the main reason war still rages in Ukraine.

"Vladimir Putin has been more difficult," Trump said. "Vladimir Putin really has to end that war."

But getting to this point took immense effort, and some European officials privately bristled at how much this year's summit was geared toward personally satisfying Trump.

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◆ **Intelligence on damage to Iran** remains murky..... **A6**

## Wall Street Frets Over Prospect of A Socialist NYC Mayor

On Wednesday, the world's epicenter of capitalism woke up to find it might soon have a socialist mayor.

By Kevin T. Dugan, Gregory Zuckerman and Brian Schwartz

Democratic socialist Zohran Mamdani's nearly certain win over former Gov. Andrew Cuomo in the New York City Democratic primary for mayor shocked Wall Street. Some of the world's most influential and powerful financiers were left grasping to understand what a potential Mamdani mayoralty would mean for their industry—and whether they would leave the city.

"It's officially hot commie summer," Dan Loeb, chief executive of hedge fund Third Point, and a major Cuomo backer, wrote on social-media platform X.

Mamdani's campaign was, up until a few weeks ago, a long shot. On Polymarket, which predicted the outcome of the 2024 presidential election, Cuomo had odds as high as 92.5% on May 27. Negative ads against Mamdani paid for by Wall Street-funded super political-action committees, as well as also-ran candidate Whitney Tilson—himself an investor—blanketed airwaves and filled residents' mailboxes.

Mamdani's platform includes

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◆ **Primary results jolt party leaders**..... **A2**

## China Puts Rare-Earth Experts on Tight Leash

By JON EMONT

China has told companies in its rare-earth industry to give the government lists of employees with technical expertise, aiming to ensure they don't divulge trade secrets to foreigners.

The queries point to the growing geopolitical significance of China's control over the materials, which are widely used in cars, electronics and weapons and stand at the center of the U.S.-China trade war.

China's Ministry of Commerce in recent weeks asked rare-earth companies based in China for personnel lists that include specialist employees' specific expertise, education, research background and personal information, people familiar with the queries said.

The goal, the people said, is to develop a formal catalog of Chinese nationals with rare-earth expertise and keep tabs on these employees to make sure they don't travel abroad and reveal secrets.

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### U.S. NEWS

Young Americans, squeezed by a challenging economy, are spending less. **A3**



### SPORTS

Can a woman run a four-minute mile? Faith Kipyegon is ready to find out. **A14**

## The Great Scottish Tea Swindle

How a band of brew-swilling detectives brought down Scotland's 'Mr. Tea'

By ALISTAIR MACDONALD

When Ron McNaughton was asked to investigate an entrepreneur claiming to sell Scottish tea, he had one thought.

"You can't grow tea in Scotland," the former police detective remembers thinking of a plant normally grown in notably hotter and sunnier climes of China and India.

Thomas Robinson's The Wee Tea Plantation business

was feted for cultivating novel homegrown brews sold in some of Britain's most exclusive hotels and stores. The self-styled "Mr. Tea" even claimed the late Queen Elizabeth II as a fan.

But his story sparked questions about the provenance of his product, setting off a seven-year probe that took investigators from Scottish fields to a Parisian cafe and a Missis-

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## Even Buffett Hasn't Fixed RV Breakdowns

Forest River averages 50 recalls a year, many from manufacturing errors

By RYAN FELTON AND JOHN KEILMAN

Jay Nelson was driving away from a picturesque Montana state park in 2020 when he saw smoke in his rearview mirror.

It was coming from the Forest River recreational vehicle he was towing. Nelson, a longtime Montana highway patrolman, got his three daughters to safety, then he and his wife grabbed a fire extinguisher.

He later blamed the incident on a wiring defect. The trailer suffered hundreds of dollars in smoke damage. Nelson said it could have been much worse.

"That could have easily cost the life of my children, my wife, or me," he said.

RVs are the ticket to an itinerant, back-to-nature lifestyle for millions of Americans. Behind those

footloose dreams, however, are vehicle-quality problems that have been blamed for injuries and deaths.

Forest River, owned by Warren Buffett's Berkshire Hathaway, is one of the RV industry's Big Three, along with Thor and Winnebago. Over the past decade, those companies have reported more recalls than Detroit's Big Three automakers, even though they make far fewer vehicles.

RVs have to operate as both houses and vehicles. The complexity of that production leads to more recalls, according to Forest River. Executives, consultants and analysts say the RV industry's unique manufacturing practices also play a major role.

Unlike highly automated car plants, RV factories typically rely on workers who

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